BUSINESS MODELS SIDES

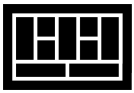


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SUPER GUIDE:
BUSINESS MODELS SIDES

BY DANIEL PEREIRA



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The Business Model Analyst is a website dedicated to analyzing business model types, patterns, and innovations using the business model canvas as its primary tool. The site offers a wide variety of free and premium content, including digital products such as PDF tools, presentations, spreadsheets, ebooks & guides, and much more. **Check it out here.**

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INTRODUCTION

Today there are wide variety of tools available for modeling businesses before giving birth to your new venture. The most popular is the Business Model Canvas, by Alexander Osterwalder. But there are other valid contributions, such as the Lean Canvas and the Value Proposition Canvas.

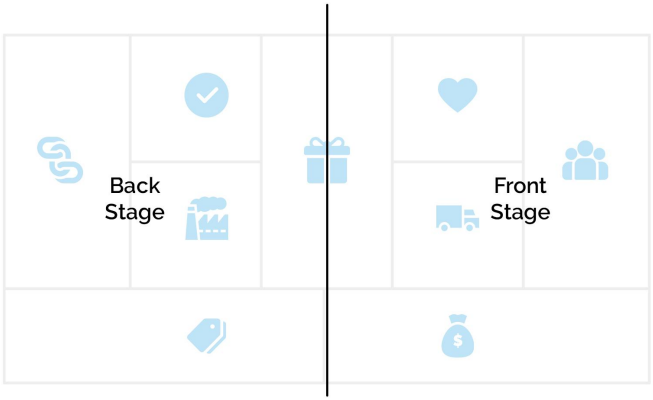
But, no matter how simple and intuitive they might seem, sometimes, especially in the early days of your business idea planning, it may be overwhelming to fill in the canvases and to understand the applicability of the models.

The goal of this guide is to make you visualize the canvases like simpler mental models, by dividing them into macro perspectives, before you start visualizing and filling each block, individually.

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BACK STAGE VS. FRONT STAGE

One way to better understand your business model when using the business model canvas is by applying the metaphor of a theater. Watch your business model canvas as if the right side of the canvas were the front stage of a theater, and the left side is the backstage (just like if you were looking at a theater from the side).



FRONT STAGE = RIGHT SIDE

In a theater, the front stage is where all the action takes place. It's the reason why people go to the theater, and what they are paying for. It is where the value is visible to the audience. And that's pretty much the same when it comes to the business model canvas.

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The right side, composed of the blocks Customer relationships, Customer segments, Channels and Revenue streams, encompasses everything your customers, clients or users can actually see. It is the way you interact with them, what represents value to them and what they are willing to pay for.

BACK STAGE = LEFT SIDE

Coming back to the theater, the backstage is the place behind the curtains, that makes the show in the front stage possible, and what drives cost to the production. But the audience won't see what's happening there.

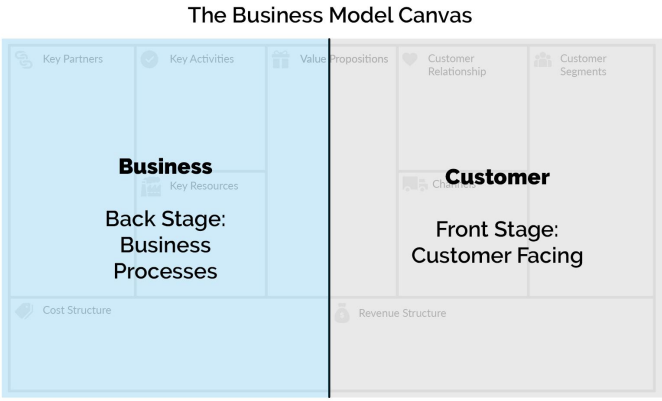
Again, that's how the metaphor works towards the left side of the business model canvas. The left side, composed of the blocks Key partners, Key activities, Key resources and Cost structure, includes everything that makes the right side of the canvas functional.

However, most customers will not see who's working there and what it is being done.

THE THEATER METAPHOR AND THE CANVAS

The final equation is as simple as the metaphor: a sound and sustainable model is the one where the revenue generated from the right side is bigger than the costs involved in the left side, resulting in profit.

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To make it true, it is important to start filling in the canvas from right to left, since the right side is where the revenue comes from. For most businesses, the imperative areas are the Value Proposition and the Customer segments.

So, it may be a good idea to begin with the customer segments, in order to understand Who the audience you will serve is and what problems you can solve. After doing so, you will be able to establish a way to add value to these customers' lives.

And that is what you are going to include in the Value proposition block: the benefits your product can bring to your customer.

With that done, you can go through the next areas: Channels (the means you will explore to make the value proposition reach your customer), Customer relationships (the way you will attract and retain customers) and Revenue streams (how your audience will pay for the value received).

Having the right side (the front stage) set, you can move to the left side (the backstage).

Now you can define the Key Resources, by setting everything

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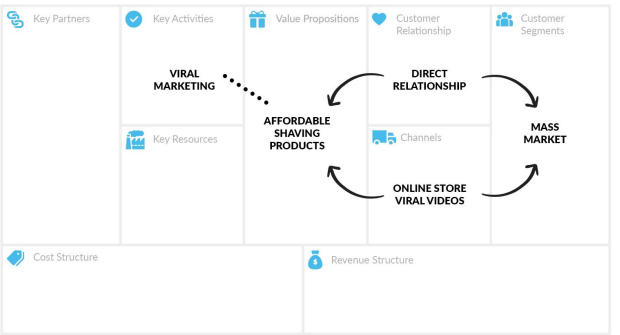
(physical or not) that are fundamental to run the business, and what the Key activities that the business needs to perform in order to deliver value are. You are going to include only the essentials in both blocks.

As for Key partners, not all the businesses will actually need some. But it is valid to think about any partnerships and suppliers that could help you start and develop yours. Finally, you will have to figure out how you are going to pay for all these assets and actions involved in the backstage, i.e., what the costs to produce and deliver the value proposition to the end customer. They must be listed in the Cost structure block.

FRONT STAGE DISRUPTOR - DOLLAR SHAVE CLUB

Dollar Shave Club ("DSC") disrupted the "Theater formula", when the company started selling shaving products directly to end consumers, by its online store, thus dismissing the retailers in between.

This way, DSC could reduce the structure and the power of the "backstage", merging marketing and distribution, and thus creating direct access to consumers.

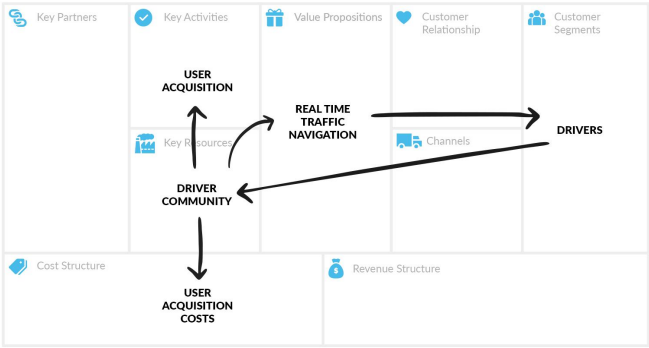


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BACKSTAGE DISRUPTOR - WAZE

Waze also disrupted the “theater” by depending on its own users to build its value proposition. That’s because the drivers who use the navigation app are precisely the people who will provide all the data Waze collects to offer directions.

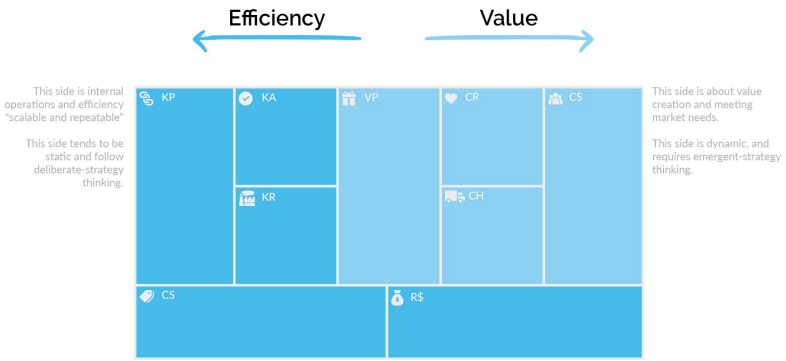
So, there is not an actual differentiation between user and producers. The user base is precisely the competitive advantage that no other traffic navigation system had gotten before.



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EFFICIENCY VS. VALUE

Another way to divide the business model canvas into two parts is by separating the business share and the customer share - or the production from the consumption side.



RIGHT SIDE = VALUE/CUSTOMER/ CONSUMPTION-SIDE

The right side of the canvas encompasses the external factors, everything related to the market and that is not under the business owner's control. It's dynamic and requires quick thinking, in order to meet the changing needs, interests and desires of the audience. The blocks involved here describe the customers and how you deliver value to them:

- **Customer Segments:** the audience you aim to serve, segmented based on their needs, desires, and

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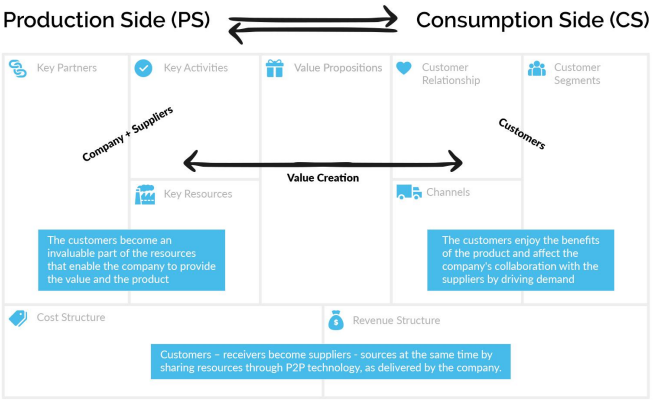
- **Channels:** the means through which your business will reach the targeted customers and deliver value to them.
- **Customer Relationships:** the kind of relationship you intend and need to build with the targeted customers, in order to ensure the communication - and success - of your business.
- **Value Proposition:** the products and services your business delivers in order to meet the needs and wishes of your customers. It's what distinguishes your company/brand from the competitors, by assuring a unique experience among the end consumers.

LEFT SIDE = EFFICIENCY/ BUSINESS/PRODUCTION-SIDE

The left side, on the other hand, focuses on the internal factors of the business, the production and all the aspects that are mostly under the owner's control. It's more static and repeatable, and requires a more strategic long-range thinking. It includes the infrastructure of the business:

- **Key Activities:** the essential activities for delivering value to the customer.
- **Key Resources:** all the resources needed in order to produce value and keep the key activities running.
- **Partner Network:** the necessary relationships with suppliers, investors and other partners that allow the production and delivery of value.

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THE BOTTOM

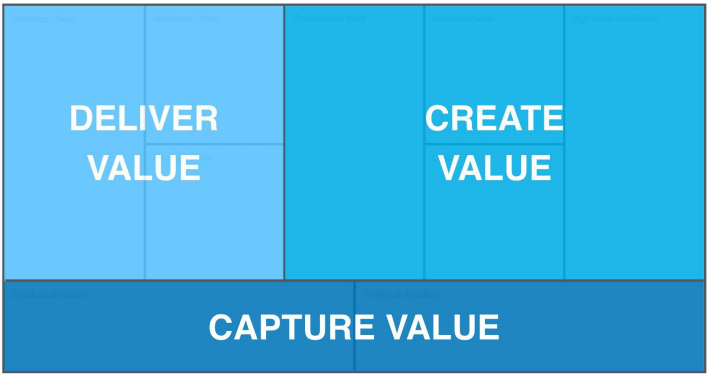
The bottom section contains the finances of the business, thus turning more towards the business/production side, but not limited to that. The finances are represented by two blocks:

- **Cost Structure:** all the costs involved in producing and delivering the value proposition to the customer.
- **Revenue Streams:** how the audience pays for the value proposition received.

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CREATE, DELIVER AND CAPTURE VALUE

By definition, a business model describes the logic of how a company creates, delivers, and captures value. This can be seen in the business model canvas sides.



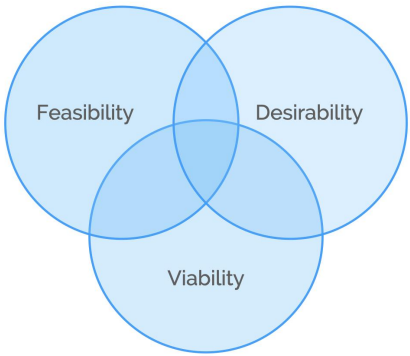
The right side is where value is created, the left side is where the value is delivered and the bottom is where value is captured.

It thus reflects companie's hypothesis about what customers want, how they want it, and how an enterprise can organize to best meet those needs, get paid for doing so, and make a profit. Any business, therefore, depends on a well-designed and thoughtful business model, which covers all these aspects.

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FEASIBILITY, VIABILITY AND DESIRABILITY

Another way to look at Business Model Canvas is by applying a mental model from design thinking, first proposed by world-renown design firm IDEO. According to the model, you achieve innovation when you get to the intersections of desirability, feasibility and viability.



The product/service needs to be desirable by customers and, at the same time, it has to be technologically feasible and economically viable. Yves Pigneur showed that you can apply this very same model on Business Model Canvas, by separating the blocks into three divisions:

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RIGHT SIDE = DESIRABILITY

The right side focuses on the customer, about creating value to them. So, the risk you face is solving a job considered irrelevant by your audience. This section includes four blocks: Customer segments, Value proposition, Channels and Customer relationships.

To build a desirable product/service, you will need to understand the problems and expectations of your audience (customer segment), develop a solution which meets these needs and interests (value proposition), select means to reach the customers (channels) and communicate effectively with them (customer relationship).

LEFT SIDE = FEASIBILITY

The left side concentrates on the infrastructure you will need to produce and deliver your value proposition. Then, the risk here is a poor execution. There are three blocks in this section: Key resources, Key activities and Key partners.

To develop a feasible operation, you will have to establish all the essential assets to deliver the solution (key resources), the fundamental activities that must be run in order to produce the solution (key activities) and, when necessary, select relevant partners that will make the processes easier or more successful (key partners).

BOTTOM = VIABILITY

Finally, the bottom is about the financial situation of the business model, and the great risk here is precisely not setting it right. This part encompasses the final two blocks: Revenue streams and Cost structure.

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In order to find a viable business, you will need to build some models and test them. This may be difficult, because it involves forecasting revenues and costs.

But it is imperative that you get as close as possible to the total expenses of production and operations, including salaries, materials, marketing, sales etc.(cost structure); as well as to how and how much the customers will pay for the solution (revenue streams).

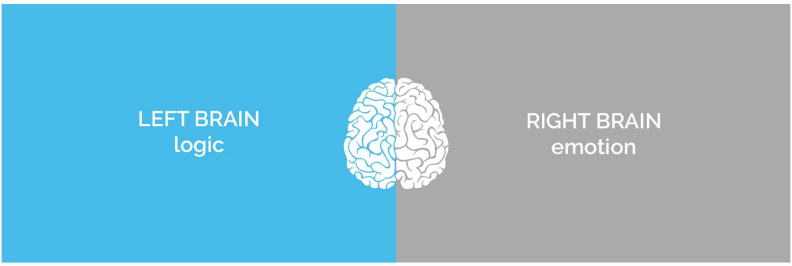
ADAPTABILITY

Besides all these three sections, contained inside the business itself, it is important to highlight adaptability: your ability to predict and deal with external factors and threats, such as competition, changing technologies and regulations, and more.

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RIGHT VS. LEFT BRAIN - LEAN CANVAS

One can also make a comparison between the Lean Canvas and the Left Brain/Right Brain Theory. According to this theory, although both sides of our brain look very much alike, they process information in a very different way.



The theory was coined by Nobel Prize winner Roger W. Sperry, in the 1960s. The psychobiologist stated that the left hemisphere of the brain refers to analytical thinking. So, the left brain is more verbal and methodical, responsible for reading, writing, logic, sequencing, computations, mathematics and facts.

The right hemisphere is more creative and intuitive, and has a less organized and more artistic way of thinking. It is connected to imagination, intuition, arts, rhythm, feelings and daydreaming.

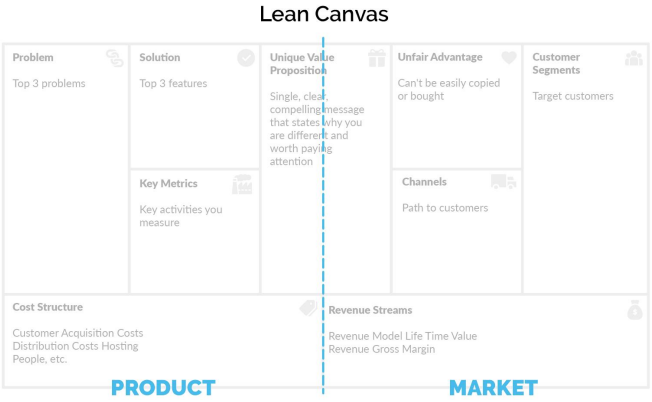
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LEFT BRAIN = LEFT SIDE

Coincidentally to our left brain, the left side of the Lean Canvas should also be filled in in a logical and analytical way. On the left side of the Lean Canvas, the product is presented, by defining the problem the product can solve, the solutions addressed, key metrics used for evaluation and the cost structure. Everything very logical and methodical.

RIGHT BRAIN = RIGHT SIDE

On the right side of the Lean Canvas, there are the market needs, where you need to use your creative skills and emotions, in order to develop opportunities. The right side is about all the strategy that is going to be used to attract and retain customers, and how they will pay for the value received.



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THE BRAIN METAPHOR AND THE LEAN CANVAS

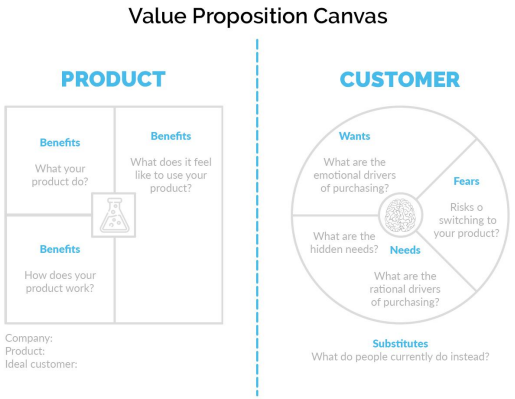
Despite the contrasts, both halves of our brain can't function independently. The two hemispheres are tied together by fibers, which deliver the information. They have to complement each other, and we never use only one side of our brain at a time.

This can also be applied to the Lean Canvas. The canvas is not a sum of two sides. It has to be analyzed and filled in as a whole, as both sides depend on each other to work out properly.

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PRODUCT VS. CUSTOMER - VALUE PROPOSITION CANVAS

The Value Propositions Canvas aims to create a fit between the product and the market. In order to achieve that, this tool focuses on positioning the product or service around the customer's values and needs. To do so, it explores deeply two blocks from the Business Model Canvas, the Customer Segment and the Value Proposition.



RIGHT SIDE = CUSTOMER

The right side of the canvas represents the customer, with all their needs, expectations, fears and desires. It's your audience, to whom your value proposition is destined. It

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contains:

- **Jobs-to-be-done:** what your customer is trying to do, the problems they want to solve and the needs they want to satisfy, with all the different roles they have to perform.
- **Pains:** what disturbs the customer when executing their jobs-to-be-done, the challenges, risks, costs, consequences, etc.
- **Gains:** what the customer expects, wishes and everything that may make their life easier or better somehow.

LEFT SIDE = PRODUCT

The left side of the canvas represents the product/service, i.e., the value proposition which will attract customers. It describes all the features the product/service offers and how that will benefit the customer. It contains:

- **Products & Services:** information about the product/service, what it is and how it works.
- **Pain relievers:** how the value proposition relieves the customer's pains, the costs, negative feelings and experiences, efforts, risks etc.
- **Gain creators:** how the value proposition benefits the customer, how it makes the customer happier.

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CONCLUSION

Understanding macro levels of a business model can help you better understand how they function, how to better design them, in order to predict threats and opportunities, and, thus, avoid failure.

It is also important to highlight that the business model canvas are not only greatly useful when you are getting started with a business, but also while your company is already running, especially if you need to review your strategy and find new ways to innovate.

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